Romania: Niculescu nears government deal

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Niculescu likely to form minority government, ending political crisis (70% probability). Niculescu, an independent candidate, is President Nicusor Dan||||||||||||||||

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Government formation likely to end Romania’s political crisis in October

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Prime Minister-designate Luca Niculescu is likely to form a minority government (70% probability) with the Social Democratic Party (PSD) in the coming days, driven more by fear of early elections than political consensus.
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A new government would restore short-term stability and unblock policymaking, but the immediate priority will be delivering a credible 2027 budget to avert a sovereign rating downgrade in January.
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Political stability will likely weaken after April 2027, as the centrists reassess their commitments amid tensions over spending and fiscal consolidation.

Niculescu likely to form minority government, ending political crisis (70% probability). Niculescu, an independent candidate, is President Nicusor Dan’s fourth prime minister-designate since the fall of former prime minister Ilie Bolojan’s government on 5 May. However, the growing threat of early elections, which the centrists are eager to avoid, has improved his chances of success.

Dan’s willingness to dissolve parliament has shifted the political calculus. According to media reports, he told party leaders that he would present a dissolution decree on 15 October unless a transparent governing agreement was reached by 14 October. Negotiations have since accelerated. The PSD has agreed to join the government, while the National Liberal Party (PNL) and the Democratic Alliance of Hungarians in Romania (UDMR) have signaled their willingness to provide parliamentary support without formally joining. The UDMR has confirmed that it will vote for the cabinet and its agenda, while the PNL is seeking a separate agreement with Niculescu. By contrast, the Save Romania Union (USR) has announced that it will vote against the cabinet and supports early elections, though it will likely shift its view toward supporting Niculescu.

Niculescu is therefore likely to lead a minority government combining PSD ministers and technocrats, relying on external parliamentary support, with a confirmation vote expected early next week.

Disagreements could derail government formation (30% probability). A last-minute reversal by any of the supporting parties remains a risk, particularly given the need to secure at least 233 votes for

investiture. Longstanding divisions among political parties, particularly over fiscal policy and reforms, could resurface during negotiations over the government platform, ministerial appointments, or the formal agreement with the PNL.

Early elections, if triggered, would likely benefit the far-right Alliance for the Union of Romanians (AUR), which has gained from months of political instability. Dan has consistently sought to avoid this outcome, but his reported threat of dissolution appears to have strengthened his negotiating position. With divisions among political parties deeply entrenched, nominating another prime minister would be unlikely to resolve the deadlock.

The new government would restore short-term political stability but tensions would gradually emerge. Ending months of political deadlock would allow the government to resume policy work that has largely stalled under the caretaker administration, improve coordination among ministries, and begin preparing the 2027 budget. A functioning government would also provide greater predictability for investors and Romania's European partners, particularly as the country faces mounting fiscal pressures. However, the durability of this stability will depend on Niculescu's ability to balance the PSD's governing priorities with the conditions attached to the PNL's external support.

The PSD has outlined ten governing priorities. These include a commitment to avoid further tax increases in 2027, pension indexation, the removal of health insurance contributions for certain vulnerable groups, support for public services and investment, and measures to streamline local administration. The party has also demanded greater transparency over the fiscal deficit and an urgent budget revision.

While these priorities do not necessarily conflict with fiscal consolidation, the PSD's emphasis on social spending and economic stimulus could clash with the PNL's preference for spending restraint and structural reforms. The main risk is selective implementation, with social spending measures advancing faster than reforms to public administration and state-owned enterprises.

Drafting and implementing the 2027 budget will be increasingly challenging. The new government's immediate priority would likely be to demonstrate effective fiscal management in the final quarter of 2026 and prepare a credible 2027 budget consistent with Romania's commitments under the Excessive Deficit Procedure (EDP). Both will be important in helping avert a sovereign rating downgrade in January. Major new spending measures are unlikely before January, when pension and wage indexation could take effect, while another VAT increase appears unlikely given its economic and political costs.

Political instability will likely return in the medium to long term. The PSD leadership has committed to formally reassessing its participation in government after six months, while the PNL's proposed agreement with Niculescu would prevent it from initiating or supporting a no-confidence motion during the same period, provided the prime minister respects the agreed principles. These separate arrangements could expose renewed disagreements over spending, reforms, and policy implementation. Unfulfilled promises and tensions between the PSD government and its external parliamentary supporters could undermine political stability.

Ultimately, Niculescu's ability to balance competing demands and maintain parliamentary support will determine whether the government can sustain stability beyond April 2027.

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